

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/tech/spacex-google-in-talks-to-explore-data-centers-in-orbit-7b7799e2>

EXCLUSIVE TECHNOLOGY

SpaceX and Google Are in Talks to Launch Data Centers in Orbit

A deal between the two tech titans would give a boost to SpaceX's business ahead of a historic public listing.

By Berber Jin [Follow](#) and Becky Peterson [Follow](#)

Updated May 12, 2026 12:07 pm ET



Elon Musk says orbital data centers are the next frontier for his rocket company. MATT ROURKE/
ASSOCIATED PRESS

Google [GOOGL](#) **-0.33%** ▼ is in talks with SpaceX for a rocket-launch deal as the search giant expands its own efforts to put orbital data centers in space, according to people familiar with the discussions.

A launch deal would put the two companies in partnership as they gear up to compete on orbital data centers, an unproven technology that SpaceX Chief Executive Elon Musk has said is the next frontier for his rocket company.

Google is also in discussions about a potential deal with other rocket-launch companies, one of the people said.

The speculative technology has been at the center of SpaceX's pitch to investors ahead of its planned public listing this summer, which is anticipated to be the largest IPO of all time.

Last year, Google announced its own plans to launch prototype satellites by 2027 as part of a moonshot initiative called Project Suncatcher. It's working with another company, Planet Labs, to build those satellites.

"We'll send tiny racks of machines and have them in satellites, test them out, and then start scaling from there," Google CEO Sundar Pichai said in a Fox News interview in November. "There's no doubt to me that a decade or so away, we'll be viewing it as a more normal way to build data centers."

Google was an early investor in SpaceX and owns 6.1% of the company, according to a regulatory filing. Google executive Don Harrison sits on the board of SpaceX.

SpaceX didn't respond to a request for comment.

SpaceX is the leading commercial launch provider, which means anyone looking to launch satellites has to weigh working with the company.

The company last week announced a deal to sell Earthbound computing resources to the AI company Anthropic. As part of the agreement, Anthropic expressed interest in working with SpaceX on orbital data centers. Earlier this year, SpaceX filed an application with a federal regulator to launch up to a million satellites for its orbital data-center ambitions.

Many industry leaders see orbital computing as a solution to the limitations of Earthbound data centers, which require swaths of land and power. These data centers are designed to be powered by solar panels, eliminating the

power constraint faced by data centers on Earth, and one of the major ecological issues with the emerging technology. But there are also major engineering challenges that have made some industry experts skeptical about their feasibility.

SpaceX made its name as the world's leading private launch provider, sending NASA astronauts to the space station and launching thousands of satellites as part of its Starlink internet constellation. It also sends satellites to space for paying customers.

As it prepares to go public, SpaceX has struck a number of deals that have rewritten its balance sheet. Some helped Musk consolidate his companies, including its acquisition of xAI, which valued the combined company at \$1.25 trillion. SpaceX also announced a close partnership with the AI coding startup Cursor. As part of the deal, SpaceX secured the option to acquire Cursor for \$60 billion later this year. It has separately announced billions of dollars in planned infrastructure spending.

For its deal with Anthropic, SpaceX will supply 300 megawatts of new computing capacity, using more than 220,000 Nvidia GPUs, by the end of May.

Appeared in the May 13, 2026, print edition as 'Google, SpaceX Eye Launch Deal'.

Becky Peterson is a Pulitzer Prize-winning reporter for The Wall Street Journal, where she covers Tesla and Elon Musk from New York. She previously reported for the Information covering Musk's greater empire, including rocket company SpaceX and AI startup xAI. She started her career at Business...



Berber Jin covers startups and venture capital out of the Wall Street Journal's San Francisco office. His articles focus on the money and people powering Silicon Valley, with a recent focus on artificial intelligence. He previously covered the same topic for the Information, where he won a Best in...



Videos